

Net current assets exceed twice the face value of the bond issue.

When the bonds were offered to the public, the Class A stock was quoted at about 42, indicating an immediate value for the stock-purchase warrants. The following year the stock advanced to 53, and the bonds to 130¹/₂. In 1927 (when Rand Kardex merged with Remington Typewriter) the stock advanced to 76, and the bonds to 190.

Example of an Unattractive Issue. By way of contrast with these examples we shall supply an illustration of a superficially attractive but basically unsound convertible offering, such as characterized the 1928–1929 period.

National Trade Journals, Inc., 6% Convertible Notes, Due 1938. The company was organized in February 1928 to acquire and publish about a dozen trade journals. In November 1928 it sold \$2,800,000 of the foregoing notes at 97¹/₂. The notes were initially convertible into 27 shares of common stock (at \$37.03 per share) until November 1, 1930; into 25 shares (at \$40 a share) from the latter date until November 1, 1932; and at prices that progressively increased to \$52.63 a share during the last two years of the life of the bonds.

These bonds could have been purchased at the time of issuance and for several months thereafter at prices only slightly above their parity value as compared with the market value of the equivalent stock. Specifically, they could have been bought at 97¹/₂ on November 30, when the stock sold at 34¹/₈, which meant that the stock needed to advance only two points to assure a profit on conversion.

However, at no time did the bonds appear to be adequately secured, despite the attractive picture presented in the offering circular. The circular exhibited “estimated” earnings of the predecessor enterprise based on the 3¹/₂ years preceding, which averaged 4.16 times the charges on the bond issue. But close to half of these estimated earnings were expected to be derived from economies predicted to result from the consolidation in the way of reduction of salaries, etc. The conservative investor would not be justified in taking these “earnings” for granted, particularly in a hazardous and competitive business of this type, with a relatively small amount of tangible assets.

Eliminating the estimated “earnings” mentioned in the preceding paragraph the exhibit at the time of issuance and thereafter was as follows: